

Tech Corp.

Brazilian E-Commerce Analysis

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Problem Scenario

Olist, a Brazilian e-commerce platform, has attracted a large number of customers, but many purchase only once. To better understand customer behavior and improve retention, we analyzed loyalty, customer growth, product preferences, regional patterns, reviews, and delivery experience.

Our main question is: What factors influence customer loyalty, repeat purchases, and churn – and how can Olist improve customer retention?

Loyalty of Customers

90.76 % of customers are churning

0.34 % of customer are loyal

Customer Lifetime Value

96.88 % of the customers only ordered once

Single-Order Customer:
162 R\$

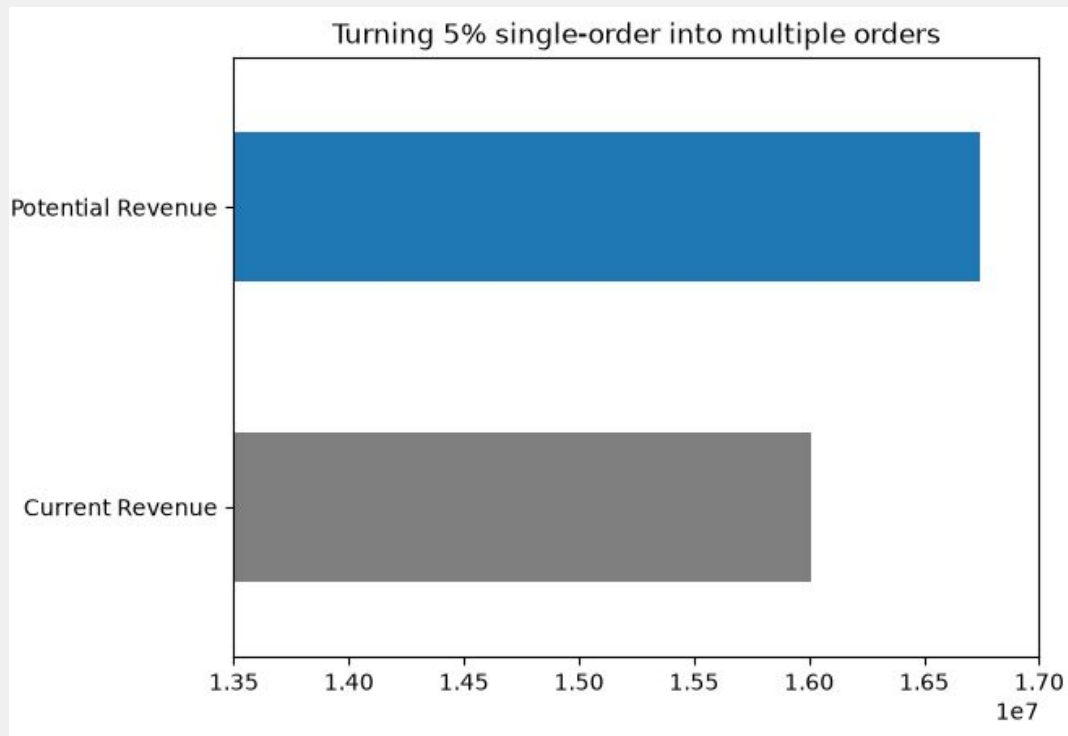
Multiple-Orders Customer:
315 R\$



Potential Revenue

Turning **5 %** of the single order customers to a repeat customers will return an estimated revenue of **736K R\$**

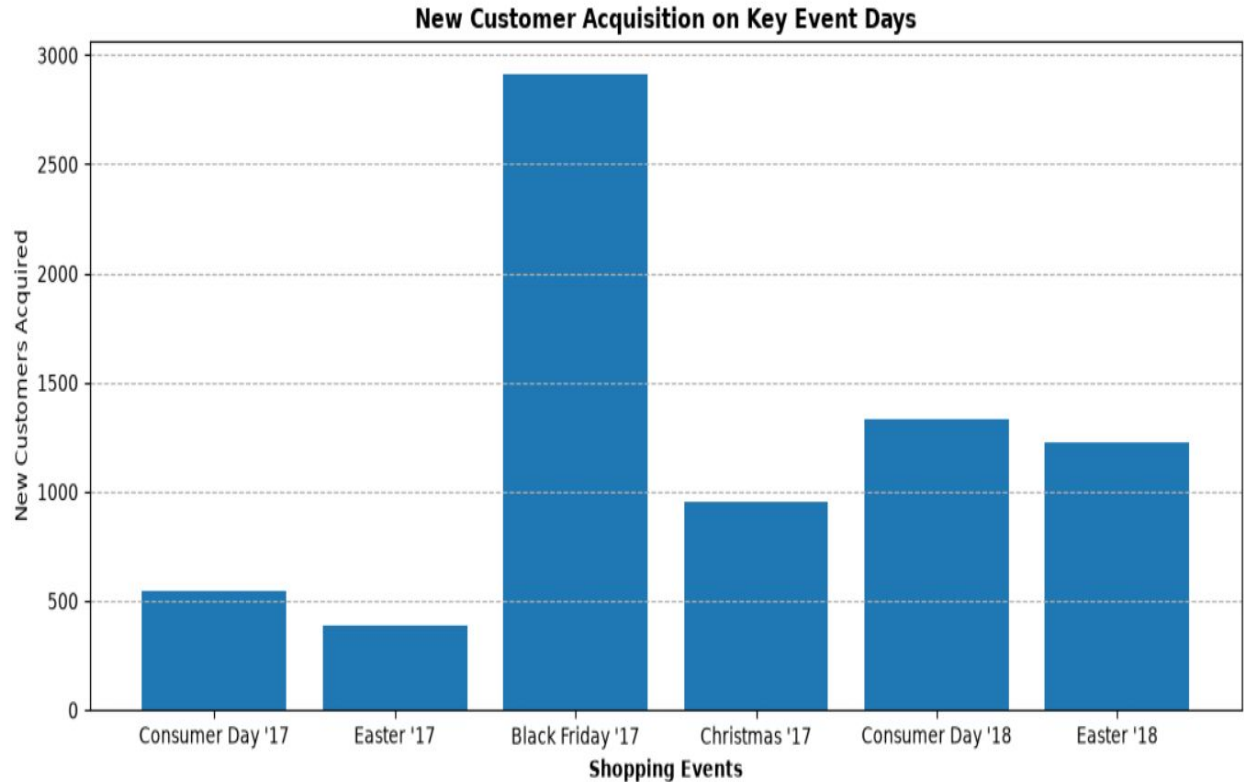
4.6 % Extra Revenue



Which events bring more customers?

Highest new customers:
Black Friday 2017:
2915

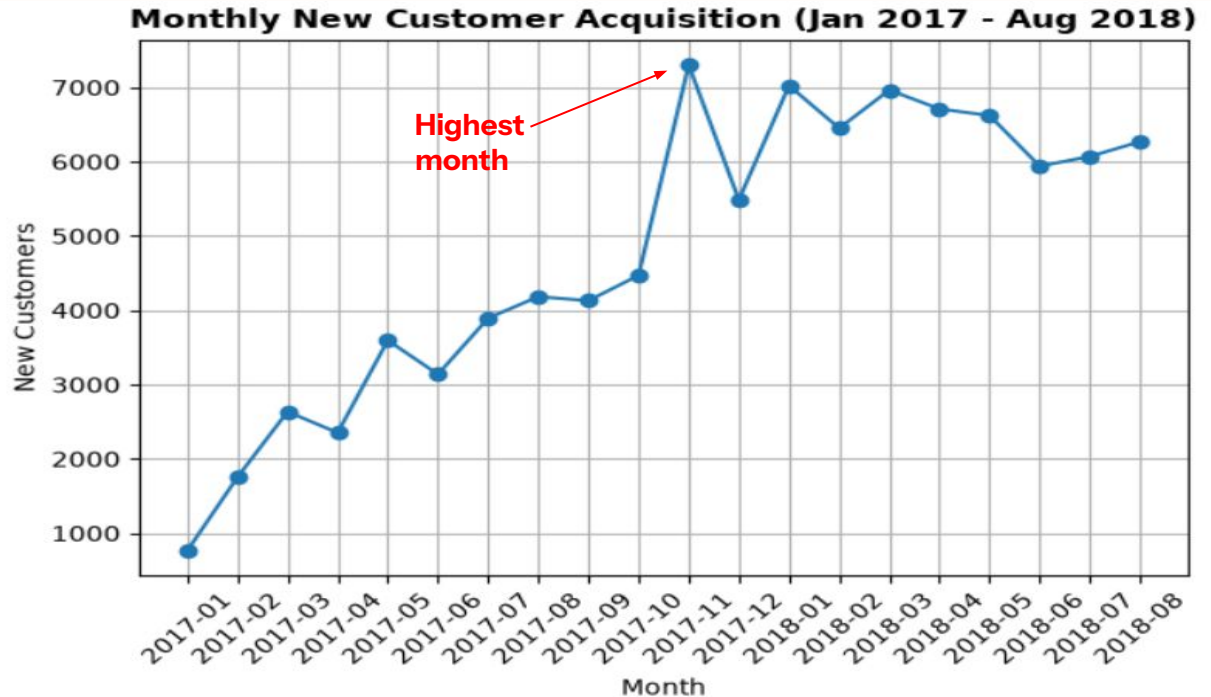
Lowest new customers:
Easter 2017:
387



The increase of new customers in months

Highest month: 2017-11

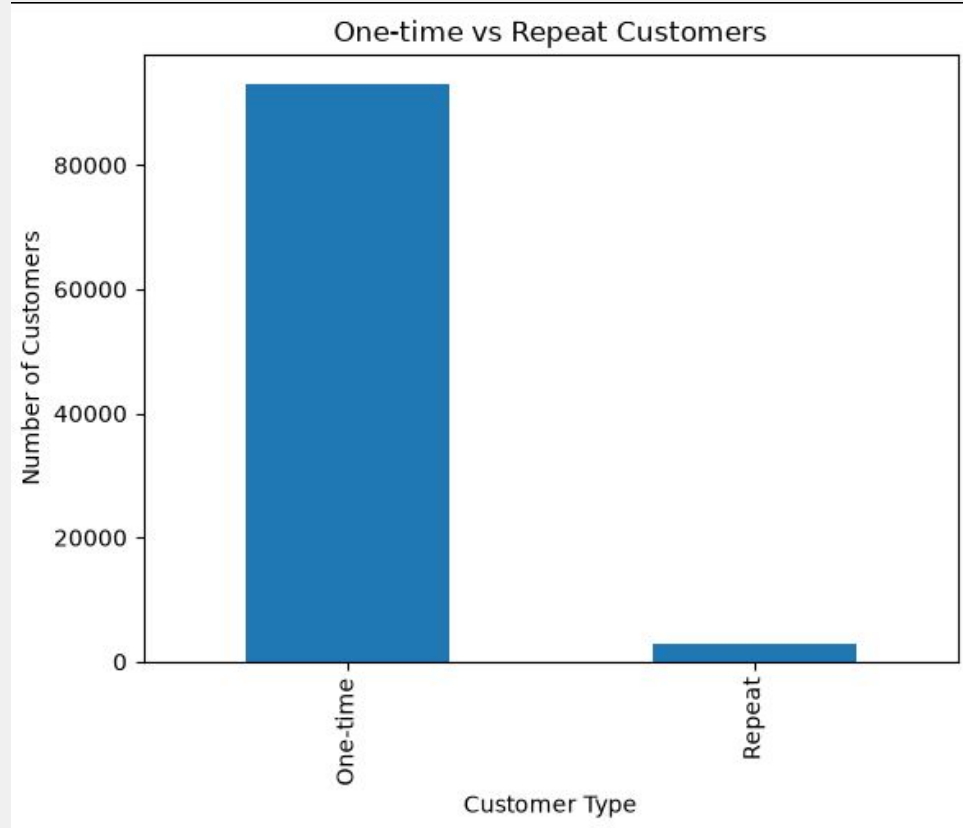
Lowest month: 2017-01



Reviews & Delivery Experience

Most customers made only one purchase, while a much smaller number of repeated customers made additional purchases.

repeated customers - 2997
one time customers - 93099



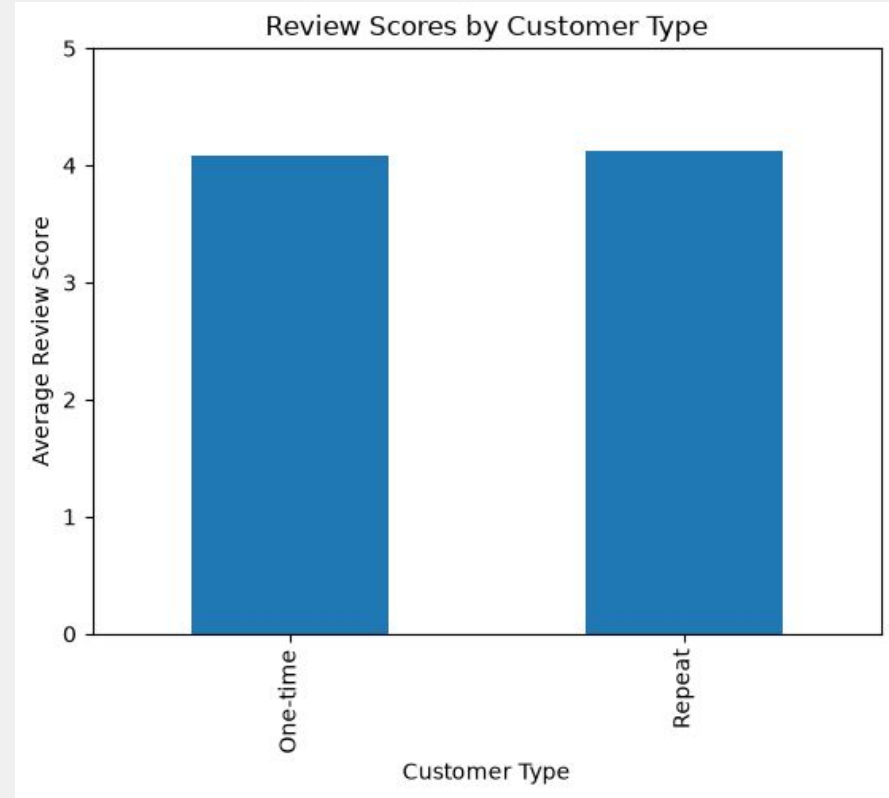
Do repeated customers give better reviews?



Repeat customers gave slightly higher review scores, while one-time customers gave slightly lower review scores.

One time mean review - 4.08

Repeated mean review - 4.12

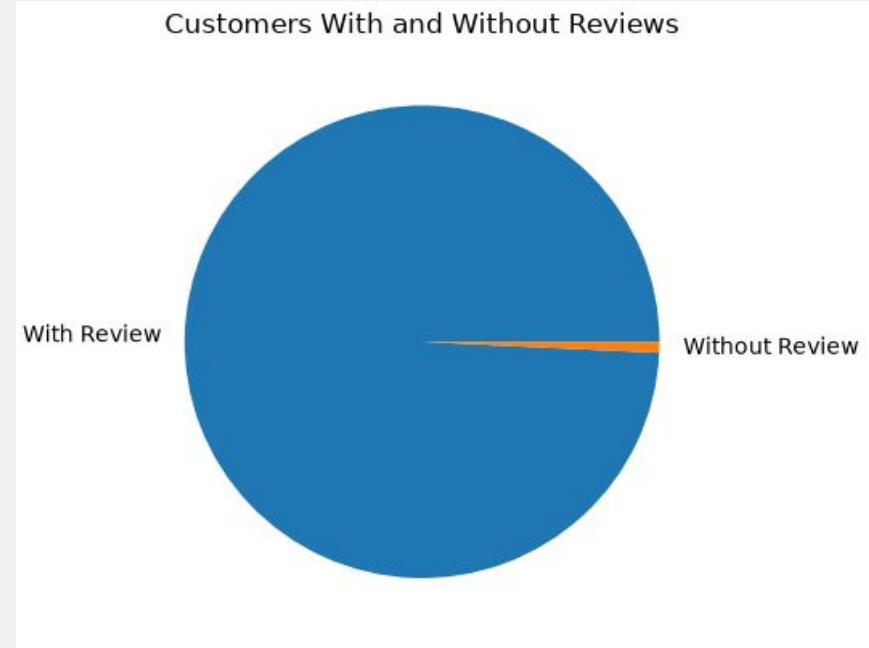


Does every customer leave a review?

Not all customers leave a review after making a purchase.

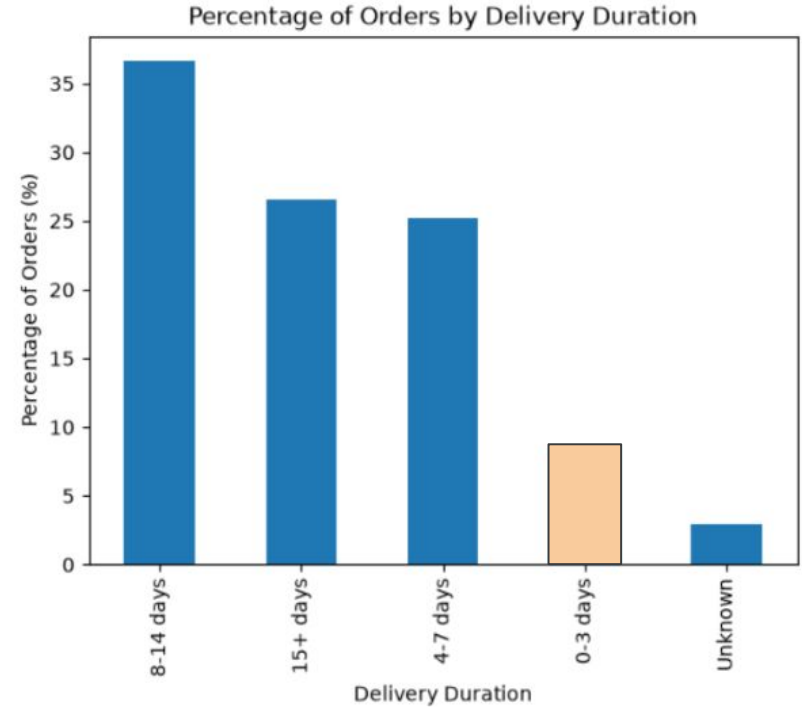
- **Total customers:** 96,096
- **Customers who left reviews:** 95,380
- **Customers who did not leave reviews:** 716 (0.75%)

Key finding: Approximately 99.25% of customers left a review, while only 0.75% did not.



Categorize delivery duration into groups and show each group as a percentage

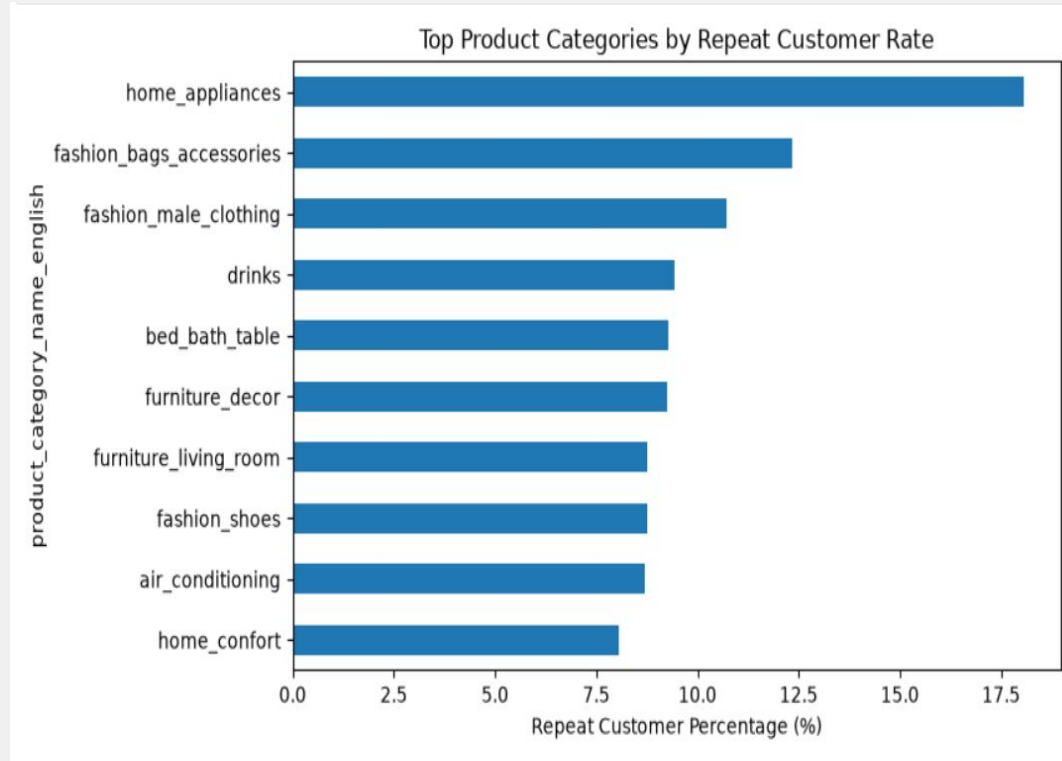
Most of the orders were delivered within 8–14 days (36.6%), making it the most common delivery duration. Which is followed by 15+ days (26.5%) and 4–7 days (25.2%), while only 8.7% of orders were delivered within 0–3 days. Lastly, a small 3% of orders had an unknown delivery duration.



Factors Associated with Repeat Customers

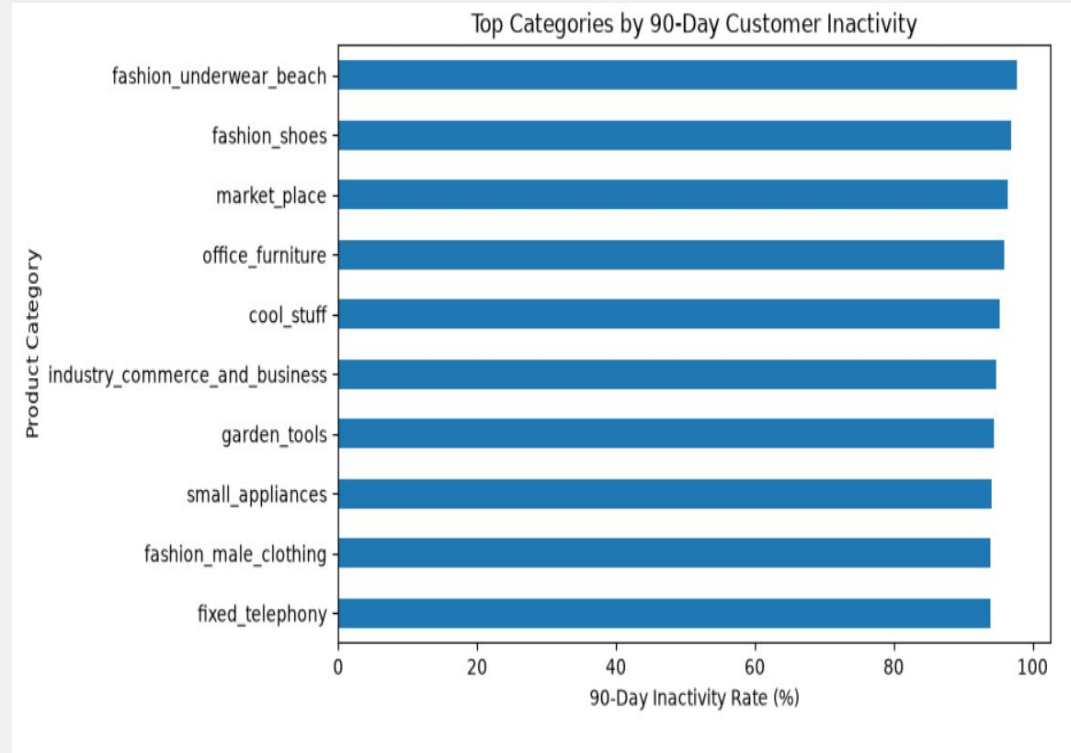
Home Appliances stands out with an 18.06% repeat rate.

Repeat customers also showed higher voucher usage (8.48% vs 5.36%) and slightly higher installment usage (3.18 vs 2.83).



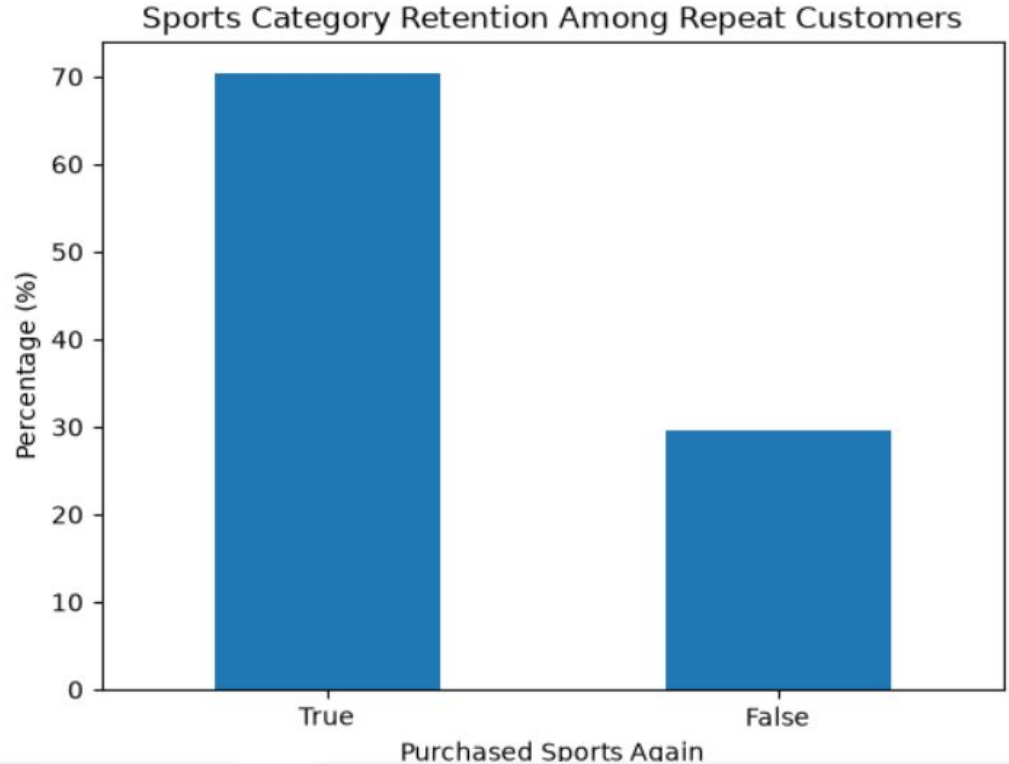
Product Categories: Loyalty vs. Inactivity

Fashion Underwear & Beach had the highest 90-day inactivity rate at **97.71%**, followed by **Fashion Shoes (96.95%)**. This suggests retention varies noticeably across product categories.



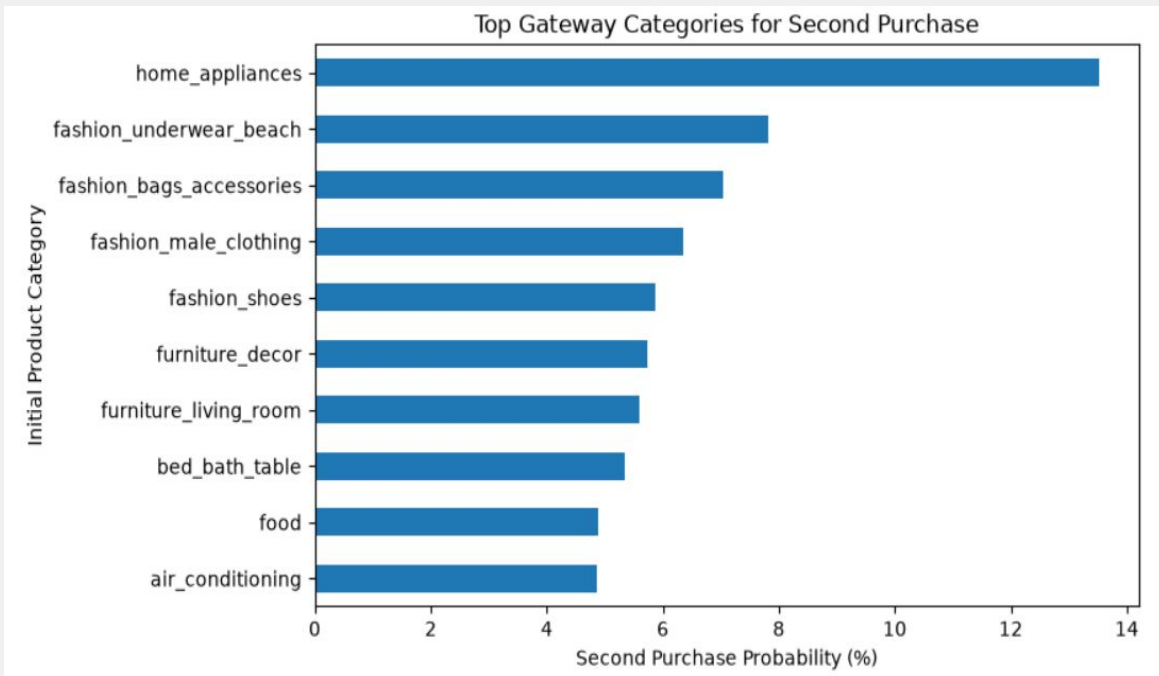
Sports Category Retention

Among **410 repeat Sports customers**, **70.38%** purchased from a **Sports category again**, showing strong category retention.



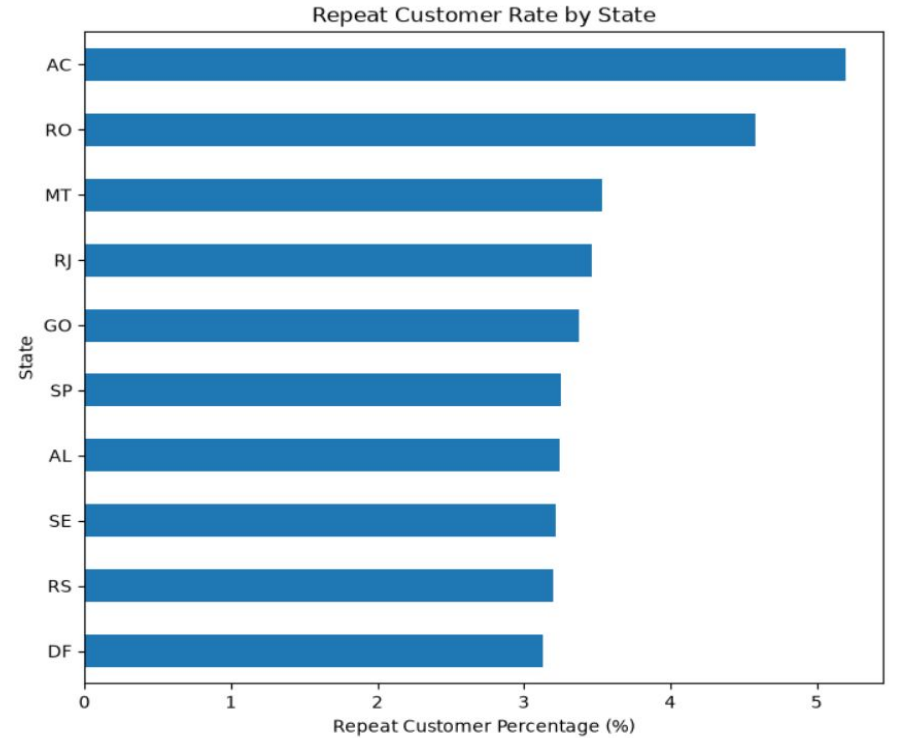
Gateway Categories

Customers whose first order included **Home Appliances** had a **13.52% probability of making a second purchase**, the highest among major categories.



Regional Differences in Repeat Purchasing

AC had the highest repeat rate (5.19%), but with a small customer base. **SP had a 3.26% repeat rate with a much larger customer base,** making it more commercially significant.



Recommendations

-  **Maximize Black Friday Opportunities** — Focus on attractive offers and promotions during Black Friday.
-  **Introduce a Loyalty Points Program** — Reward customers with points to encourage repeat purchases.
-  **Targeted vouchers:** Test vouchers/offers for customers buying from high-inactivity categories, such as Fashion Underwear & Beach and Fashion Shoes.
-  **Cross-sell Sports products:** Sports customers showed 70.38% category retention, so recommend related Sports products after their first purchase.
-  **Improve Delivery Speed** : Reduce delivery times and prioritize faster fulfillment to improve the customer experience.

Thank You!